

Under the Macroscope: From Wall Street to the world?the end of US exceptionalism?

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Under the Macroscope: From Wall Street to the world?the end of US exceptionalism?

As we stand at the crossroads of global financial dynamics, the narrative of US exceptionalism is undergoing a significant transformation. The once unwavering confidence in US asset markets is now being questioned, prompting investors to explore alternative avenues. In this commentary, I will delve into the compelling case for emerging markets as a strategic investment opportunity, drawing insights from my recent discussions and observations.

The end of US exceptionalism

The concept of US exceptionalism has long been a cornerstone of investment strategies, driving substantial allocations to US equities, fixed income and unhedged US dollar exposures. However, recent market actions and price movements indicate a shift in sentiment. The US asset markets are grappling with uncertainties, and the once robust narrative of US exceptionalism is losing its sheen. In our opinion, this shift is not merely a fleeting trend but a fundamental change that warrants a reassessment of investment strategies.

Emerging markets: A beacon of opportunity

In the face of US market uncertainties, we believe emerging markets present a compelling alternative. The fundamentals of major emerging markets appear robust, characterized by lower external debt and favorable debt-to-GDP ratios. Countries like Turkey, Saudi Arabia, South Korea and several Asian nations boast low external debt exposure, making them attractive as destinations for capital inflows. This low debt profile is a significant draw, especially when compared to the United States, which is burdened with a staggering US\$26 trillion to US\$27 trillion in outstanding Treasury debt, potentially rising to US\$30 trillion.¹

Supportive policies and growth prospects

We believe emerging markets are poised to benefit from growth-supportive policies, including interest-rate cuts. Unlike the US Federal Reserve, which may not cut rates aggressively due to inflation concerns, emerging markets are expected to ease interest rates to foster growth. This proactive approach is crucial in the context of deglobalization and trade tariffs, which necessitate policies that support economic expansion. In our opinion, the willingness and ability of emerging markets to implement such policies enhance their attractiveness as investment destinations.

Diversification and resilience

We believe investors seeking diversification and attractive returns should consider emerging market debt alongside equities. The performance of emerging market debt has improved over the past two years, and the winds of change are becoming increasingly favorable. Major emerging markets have minimal net external financing needs, reducing the risk of adverse impacts from geopolitical risks, trade imbalances or exchange-rate volatility. This resilience is a testament to the strength of emerging market fundamentals.

Concerns over US Treasuries

The traditional view of US Treasuries as risk-free assets is being challenged. The potential decline of the US dollar, coupled with the supply-demand imbalance in the US Treasuries sector, raises concerns. We believe it is an opportune time for investors to reassess US Treasury positions and consider emerging markets as a viable alternative. The depreciation risk of the US dollar is a wake-up call, and the elevated term premium in US Treasuries further underscores the need for diversification, in our view.

Long-term investment strategy

The shift from US assets to emerging markets is not yet a consensus view, but it is gaining traction. This strategic move

should be considered beyond the 12-month timeframe, given the prolonged period of uncertainty surrounding the US administration, US dollar and US Treasuries. The rotation from US equities to US fixed income is already underway, but a more balanced approach that includes greater allocation to emerging markets is likely to emerge.

Preparing for a weaker dollar

The trajectory of the US dollar is a critical factor. The US dollar has been overvalued for an extended period, and the factors contributing to its potential weakness are stacking up. Deglobalization, reduced trade flows and the US deficit situation all point toward a weaker US dollar profile. Investors must be prepared for this shift and consider the implications for their portfolios.

Conclusion

In conclusion, the narrative of US exceptionalism is evolving, and emerging markets are stepping into the spotlight as a strategic investment opportunity. In our analysis, the robust fundamentals, supportive policies and resilience of emerging markets make them a compelling alternative to US assets. As we navigate this shift, we believe a balanced approach that includes greater allocation to emerging markets could be crucial for long-term investment success.

Endnote

Source: ?U.S. Treasury Monthly Statement of the Public Debt (MSPD).? Fiscal Data Treasury.gov. April 2025. Potentially rising to US\$30 trillion, based on various forecasts. There is no assurance that any estimate, forecast or projection will be realized.

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All investments involve risks, including possible loss of principal.

Equity securities are subject to price fluctuation and possible loss of principal.

Fixed income securities involve interest rate, credit, inflation and reinvestment risks, and possible loss of principal. As interest rates rise, the value of fixed income securities falls.

International investments are subject to special risks, including currency fluctuations and social, economic and political uncertainties, which could increase volatility. These risks are magnified in emerging markets.

Diversification does not guarantee a profit or protect against a loss.

WF: 5342756

CONTRIBUTORS

Christy Tan

Investment Strategist Franklin Templeton Institute

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